

BBAS3 1Q26 Summary

Management adopted a cautious, defensive tone throughout the call, emphasizing prudence, transparency, and the need to anticipate risks in a deteriorating credit environment. Key changes centered on Cost of credit 2026 guidance and Net Interest Income (NII) 2026 guidance. Analyst focus centered on Provision guidance credibility and forward visibility and Capital adequacy, dividend sustainability, and organic capital generation.

Key Financial and Guidance Highlights

- Cost of credit 2026 guidance: raised; investment read-through negative. Management revised cost of credit guidance upward.
- Net Interest Income (NII) 2026 guidance: raised; investment read-through positive. Management revised NII guidance upward.
- Adjusted net income 2026 guidance: lowered; investment read-through negative. Management signaled lower adjusted net income expectations for 2026 by revising cost of credit upward and acknowledging that 1Q result.
- Capital (CET1) 2026 guidance: reaffirmed; investment read-through neutral. Management reaffirmed a CET1 target of around 11% for 2026, with a best estimate of 11 to 11.5% by year-end.

Temporal Context

Recurring historical theme: Agribusiness asset quality and delinquency. New or escalating theme: Contamination effects in individuals credit card portfolio (quantified at over 40% of individuals provision increase).

Key Themes From Analyst Q&A

- Antônio Ruelle (Bank of America): Provision guidance credibility and forward visibility; quality adequate. Response: Felipe Prince explained that 1Q provisions reflect anticipatory expected-loss modeling that already incorporates the April punctuality deterioration and forward-looking risk.
- Gustavo Schrodén (Citi): Capital adequacy, dividend sustainability, and organic capital generation; quality adequate. Response: Geovanne Tobias stated that management maintains a 30% minimum dividend payout and expects organic capital generation to support both dividends.
- Yuri Fernandes (JP Morgan): Individuals portfolio growth strategy vs. credit quality deterioration; quality weak. Response: Geovanne Tobias explained that individuals growth is focused on higher-margin.

Linguistic Red Flags

- Geovanne Tobias: We don't know how long this truce will last
- Geovanne Tobias: We wouldn't want to be having to review the guidance right now
- Geovanne Tobias: It looks like a W-shaped recovery to me

Surprise Context

The call showed notable divergence from pre-call expectations.

- Cost of credit guidance revision magnitude: Management revised cost of credit guidance

upward.

- Contamination in individuals portfolio beyond agribusiness: Management explicitly highlighted contamination effects in individuals credit card portfolio from rural producer customers.

- 1Q26 adjusted net income vs. internal expectations: Adjusted net income came in at R\$3.4bn. Management acknowledged the result was below internal expectations.